

## **Block, Inc. Third Quarter 2024 Earnings Call - Prepared Remarks**

### **Nikhil Dixit, Head of Investor Relations**

Hi, everyone.

Thanks for joining our third quarter 2024 earnings call. We have Jack and Amrita with us today.

We will begin this call with some short remarks before opening the call directly to your questions. During Q&A, we will take questions from conference call participants.

We would also like to remind everyone that we will be making forward-looking statements on this call. All statements other than statements of historical fact could be deemed to be forward-looking. These forward-looking statements include discussions of our outlook, strategy and guidance as well as our long-term targets and goals. These statements are subject to risks and uncertainties. Actual results could differ materially from those contemplated by our forward-looking statements. Reported results should not be considered an indication of future performance.

Please take a look at our filings with the SEC for a discussion of the factors that could cause our results to differ. Also, note that the forward-looking statements on this call are based on information available to us as of today's date. We disclaim any obligation to update any forward-looking statements, except as required by law. Further, discussion during this call of our lending and banking products include those offered through our bank partners.

Within these remarks, we will also discuss metrics related to our investment framework, including Rule of 40. With Rule of 40, we are evaluating the sum of our gross profit growth and Adjusted Operating Income margin.

Also, we will discuss certain non-GAAP financial measures during this call. Reconciliations to the most directly comparable GAAP financial measures are provided in the Shareholder Letter, and our Historical Financial Information spreadsheet on our Investor Relations website. These non-GAAP measures are not intended to be a substitute for our GAAP results.

Finally, this call in its entirety is being audio webcast on our Investor Relations website. An audio replay of this call and the transcript for Jack and Amrita's opening remarks will be available on our website shortly.

With that, I would like to turn it over to Jack.

## **Jack Dorsey, Block Head**

Thank you all for joining us. My Shareholder Letter this quarter explains our ecosystem of lending products, our methodology, how we address risks, and our competitive advantage. We are focused on increasing access with Square Loans, Afterpay Buy Now Pay Later, and Cash App Borrow through better technology, transparency, and simplicity. If you haven't yet, please read the letter for more details. With that, I'll turn it over to Amrita for some highlights from the quarter.

## **Amrita Ahuja, Chief Operating Officer and Chief Financial Officer**

Thanks Jack.

We delivered strong results across the company during the third quarter. Gross profit was \$2.25 billion, up 19% year over year, with 16% growth for Square and 21% growth for Cash App. We delivered a significant increase in profitability on a year-over-year basis, with meaningful margin improvement and our highest quarterly profitability ever for both Adjusted Operating Income and Adjusted EBITDA, on a dollar and margin basis. For the twelve months ending in September, Adjusted Free Cash Flow was \$1.50 billion, compared to \$945 million in the prior twelve months.

For full year 2024, we have raised our guide on Adjusted Operating Income and Adjusted EBITDA, and we have maintained the gross profit guidance we outlined in August. For the fourth quarter of 2024, we expect gross profit of \$2.31 billion or 14% growth year over year.

Let's unpack a few real-time dynamics. For Square, we've seen an improvement in underlying GPV trends in recent months. In October, we saw higher year over year growth for both US and Global GPV compared to the third quarter, with Global GPV showing double digit growth. For Cash App, we've seen strong momentum on gross profit and improved attach rates on paycheck deposits.

Looking at our fourth quarter guidance, while underlying trends in the business are stable to improving, and we expect Square GPV growth to improve modestly compared to the third quarter, there are a few discrete items that impact gross profit growth by about 3 points. In Cash App, we shifted out the expansion of Cash App Borrow into new customer segments, while in Square we had a delay in a one time transaction cost benefit from a partner. We now expect both of these benefits to land in 2025.

Our Adjusted Operating Income guide in the fourth quarter reflects plans for a step-up in sales and marketing for both Square and Cash App, as we invest behind attractive unit economics in each business to drive growth in 2025. Our updated full year 2024 guidance implies Rule of 36, a significant improvement of 6 points compared to 2023 and 7 points compared to our initial

2024 guide, which is composed of 3 points from growth outperformance and 4 points from margin outperformance.

Finally, while we're still in the planning process for next year, we wanted to provide a preliminary view into our expectations for 2025. As we shared previously, we plan to reach Rule of 40 in 2026, with a composition of at least mid-teens gross profit growth and a mid-20% Adjusted Operating Income margin. We expect strong gross profit growth in 2025 of at least 15%, consistent with that target, driven by broad momentum across Block.

We have a number of initiatives recently launched or launching soon, and we expect them to compound through the year, driving stronger growth in the second half of the year compared to the first half. We expect GPV growth to improve next year and to end 2025 at a meaningfully higher growth rate than where we exit 2024. On the profitability side, we're committed to expanding margins on an Adjusted Operating Income basis next year, although we expect the pace of expansion to be less than this year as we invest in growth opportunities with attractive returns, particularly around go to market.

Our guide assumes a stable macro environment and is based on the momentum we're seeing in the business, as we execute on our strategy and scale product innovations for our customers in 2025. We've rolled out Square's orders platform and we're leveraging this to bring new features to sellers, like pre-authorization. We're currently testing a new and enhanced Square for Restaurants point of sale experience with a growing number of sellers and we'll make this available to all sellers in 2025. We're also rolling out our Single App experience to new sellers now and expect to launch that more broadly in 2025.

We've seen tangible momentum in partnerships and early signs of success in sales. We grew our Square brand and performance marketing investments more than 20% year over year in the third quarter, and began ramping sales hiring, including field sales. We'll be scaling these and other go-to-market efforts more meaningfully into next year.

For Cash App, we're about to transform 24 million Cash App Cards into a better alternative to credit cards when we launch Afterpay on Cash App Card. We're leaning into go-to-market spend to drive paycheck deposit actives in 2025 across performance, marketing, brand awareness, and incentives.

We've driven performance in 2024 by focusing our strategies, and by operating with expense discipline across personnel, structural costs and corporate overhead costs. We have seen constraints breed creativity and drive continuous improvement in how we serve customers. We intend to build upon our execution in 2025 and beyond.

With that, I'll now turn it back to the operator to start the Q&A portion of the call.